

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 219.89		USD 42.46		-80.7%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	14.6% Discount rate (CAPM)	USD 42.46 -81% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 42.46, against a market price of USD 219.89 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 105%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong technology leader, but at USD 220 the market prices in unsustainably high growth and margin expansion that we see as unrealistic.

Business quality: Strong · **Stock:** SELL — NVIDIA demonstrates robust operating margins expanding to over 60% by FY2025 and FY2026, reflecting strong pricing power and operational leverage in a leading technology position.

What the market prices in. The current share price implies first-year revenue growth of approximately 105% with a decaying trajectory thereafter, alongside operating margins exceeding 60%, reflecting overly optimistic expectations for near-term growth and profitability.

What we expect. Our base case assumes a more conservative 20% revenue growth in year one, stabilizing to a terminal growth rate of 2.5%, with operating margins normalizing to 36.2%, resulting in a fair value of USD 42.46 per share.

The gap. The market's valuation reflects a scenario of sustained hyper-growth and margin expansion that we view as improbable given recent zero revenue growth in FY2023 and the inherent risks in product development and market acceptance; this disconnect leads to an 81% downside to our intrinsic value and supports a SELL recommendation.

Why SELL

- 1 Reverse DCF shows market pricing in more than 5x our revenue growth forecast in year one, which is not supported by recent performance or realistic growth drivers.
- 2 Operating margins in the market's implied scenario exceed 60%, while we forecast a more sustainable 36.2% terminal margin reflecting competitive pressures and cost normalization.
- 3 Recent revenue growth volatility (0% in FY2023, then +126% and +114%) suggests unsustainable spikes rather than steady growth.
- 4 Management's forward-looking statements highlight significant execution risks and uncertainties around new product rollouts and market acceptance.
- 5 Our scenario analysis assigns only a 25% probability to a bull case, underscoring the high risk of downside outcomes.

Biggest catalyst. Disappointing quarterly revenue or margin guidance that confirms slower growth or margin contraction, driving the stock lower.

Biggest risk. Sustained acceleration in AI-driven demand and successful product launches that materially exceed our growth and margin assumptions, supporting higher valuations.

We would turn more positive if:

- Sustained quarterly revenue growth above 100% for multiple quarters.
- Operating margins consistently above 60% beyond FY2026.
- Successful commercialization and market adoption of new AI-related products like Blackwell and Vera Rubin.

We would turn more negative if:

- Revenue growth falling below 10% in the near term.
- Operating margins declining below 30% due to competitive pressures or increased costs.
- Delays or failures in product development and supply chain disruptions.

The case against our view. The market's view that NVIDIA's AI leadership and product innovation will drive unprecedented growth and margin expansion is plausible given the transformative potential of AI, and the company's recent revenue spikes may signal the start of a new growth cycle rather than a temporary anomaly.

BUSINESS OVERVIEW

NVIDIA's revenue is predominantly driven by its Compute & Networking segment, anchored in AI and accelerated computing, with concentrated customer exposure that could influence future stability.

NVIDIA generates the majority of its revenue from two operating segments: Compute & Networking and Graphics. In fiscal year 2026, Compute & Networking accounted for \$193.5 billion of the \$215.9 billion total revenue, representing nearly 90% of sales, while Graphics contributed \$22.5 billion [2]. This heavy skew towards Compute & Networking indicates the company's core business focus on data center and AI-related products, which are currently driving growth. The sustainability of this dominance depends on continued demand for AI and accelerated computing platforms, particularly the Blackwell architecture, which underpins much of this segment's revenue growth [5].

Revenue concentration is significant, with a few direct customers accounting for a large portion of sales. For fiscal year 2026, one direct customer represented 22% of total revenue and another 14%, both primarily within Compute & Networking [3][5]. This concentration suggests NVIDIA's business is highly dependent on a limited number of large customers, which could pose risks if these customers reduce orders or switch suppliers. However, the company's strong position in AI and accelerated computing markets may help maintain these relationships unless disrupted by competitive or technological shifts.

Geographically, revenue is increasingly concentrated in the United States, which accounted for \$149.6 billion or about 69% of total revenue in fiscal 2026, up from \$77.5 billion in 2025 [1]. This shift reflects the location of NVIDIA's major direct customers and end users, especially in data center demand. While this concentration aligns with the global leadership of U.S.-based cloud and AI companies, it also exposes NVIDIA to geopolitical and regulatory risks that could affect supply chains or market access. The company's revenue from customers headquartered outside the U.S. declined to 31% in 2026 from 41% in 2025, indicating a trend that may persist if U.S. demand remains robust [3][6].

NVIDIA's revenue model involves both direct customers—such as add-in board manufacturers, distributors, and cloud service providers—and indirect customers who purchase through these intermediaries [3][5][7]. This layered customer base allows NVIDIA to reach a broad market including hyperscale cloud providers, AI model makers, and enterprises. However, the reliance on system integrators and distributors to reach indirect customers introduces complexity and potential variability in demand signals. The company's ability to manage this distribution network effectively will be critical to sustaining growth and margin expansion.

- Compute & Networking segment generated \$193.5 billion in FY2026, nearly 90% of total revenue, showing NVIDIA's core business focus on AI and data center solutions [2].
- Two direct customers accounted for 36% of total revenue in FY2026, indicating high customer concentration risk primarily in Compute & Networking [3][5].
- U.S.-based customers contributed \$149.6 billion or 69% of revenue in FY2026, reflecting dependence on U.S. cloud and AI markets [1].
- Revenue from customers headquartered outside the U.S. dropped to 31% in FY2026 from 41% in FY2025, signaling geographic concentration [3][6].
- Indirect customers, including cloud service providers and enterprises, rely on direct customers for product access, adding complexity to demand forecasting [3][5][7].

What it means. NVIDIA's business is heavily concentrated in AI-driven Compute & Networking sales to a few large U.S.-based customers, which supports strong growth but introduces customer and geographic concentration risks that investors must monitor.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77
- [3] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [4] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22

[5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
[6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
[7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.27
[8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

FINANCIAL PERFORMANCE

NVIDIA's fiscal 2026 financial surge reflects AI-driven demand but margin pressure and inventory risks temper sustainability.

NVIDIA's revenue jumped 65% to \$215.9 billion in fiscal 2026, driven primarily by a 68% increase in Data Center sales fueled by accelerated computing and AI adoption, alongside strong Gaming and Professional Visualization growth from Blackwell platform demand [1][2]. This revenue surge indicates the company's successful capture of AI-related market expansion, suggesting a robust top-line growth trajectory as long as AI and accelerated computing remain strategic priorities. However, this growth depends on continued innovation and market leadership in these segments, with supply constraints in Gaming posing a near-term risk [2].

Despite revenue growth, gross margin declined by 3.9 percentage points to 71.1%, largely due to a business model shift from Hopper HGX to Blackwell datacenter solutions and a significant \$4.5 billion charge for H2O excess inventory and purchase obligations [1][2][7]. This margin compression signals that NVIDIA is investing heavily in scaling new platforms but faces cost pressures and inventory management challenges that could erode profitability if not controlled. The sustainability of margins hinges on successful inventory optimization and cost efficiencies in newer product lines; failure to manage excess inventory or supply chain costs could prolong margin weakness.

Operating expenses rose 41% to \$23.1 billion, driven by higher compensation from employee growth and increased compute and infrastructure costs [1][2][4]. While this reflects NVIDIA's investment in talent and technology to support growth, the slower growth rate of operating expenses relative to revenue expansion improved operating income by 60% to \$130.4 billion [1]. This suggests operational leverage is present but will require disciplined expense management to maintain as the company scales. If expense growth outpaces revenue in future periods, operating leverage benefits could diminish.

NVIDIA's net cash from operating activities surged to \$102.7 billion, up 60% year-over-year, supporting strong free cash flow generation despite increased investing and financing outflows [5][6]. This robust cash flow underpins NVIDIA's capacity to fund R&D; and capital expenditures critical for sustaining innovation-led growth. However, sustaining this cash flow depends on maintaining revenue momentum and controlling working capital, particularly inventory levels, which have previously pressured margins and cash conversion.

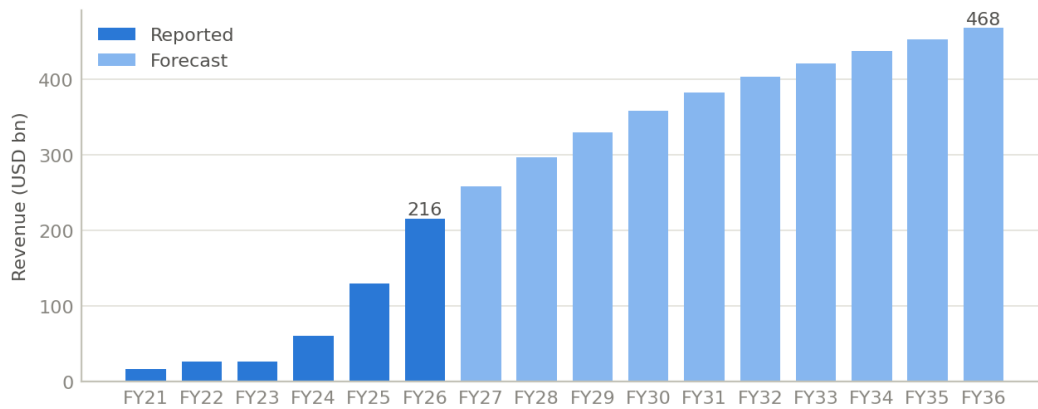
- 65% revenue growth to \$215.9 billion driven by AI and Data Center demand confirms NVIDIA's leadership in high-growth markets [1][2].
- Gross margin fell 3.9 points to 71.1% due to product mix shift and a \$4.5 billion inventory charge, indicating margin pressure from scaling new platforms [1][7].
- Operating expenses increased 41% but grew slower than revenue, enabling a 60% rise in operating income and demonstrating operational leverage [1][4].
- Net cash from operations rose 60% to \$102.7 billion, supporting strong free cash flow and investment capacity [5][6].
- Supply constraints in Gaming and inventory risks could limit near-term margin and revenue sustainability [2][7].

What it means. NVIDIA's financial performance in fiscal 2026 validates its AI-driven growth strategy but margin compression and inventory challenges require monitoring to ensure durable profitability and cash flow expansion.

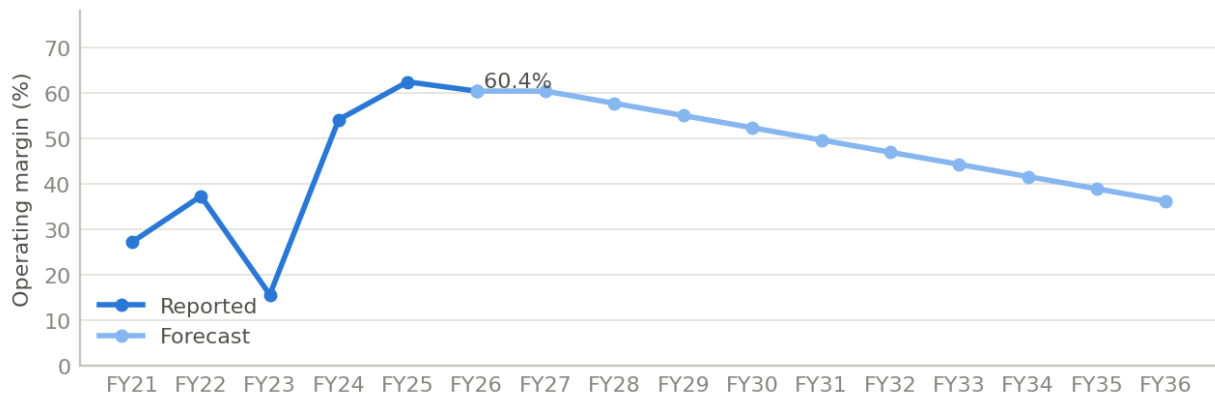
Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
[2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
[4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
[5] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
[6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
[7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
[8] FY2026 Earnings Release - Non-GAAP Measures - p.5

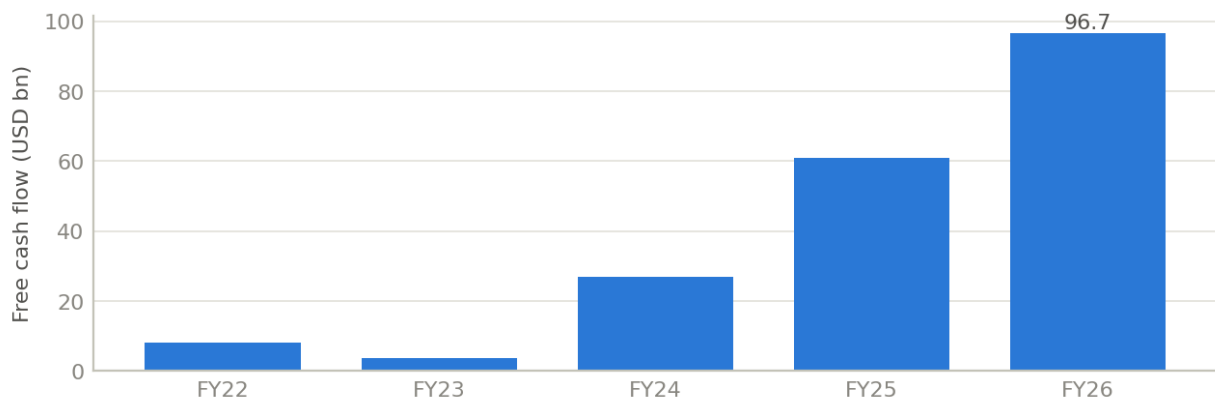
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by AI platform leadership and expanding AI compute demand, but supply chain and product transition risks could temper near-term momentum.

NVIDIA's fiscal 2026 revenue surged 65% year-over-year to \$215.9 billion, with Data Center revenue up 68% and Gaming up 41%, primarily fueled by accelerated computing and AI adoption, especially the Blackwell platform [1]. This indicates that NVIDIA's AI-centric product portfolio is already generating substantial revenue growth, reflecting strong market demand for AI infrastructure. The sustainability of this growth depends on continued AI adoption and NVIDIA's ability to maintain technological leadership in accelerated computing platforms, which management is actively pursuing through annual product refreshes [1][6].

The company's strategy to increase U.S.-based manufacturing and invest in specialized equipment aims to mitigate supply constraints, but risks remain due to the complexity of product transitions and the fast cadence of new architectures across all segments [2][6]. These transitions can cause revenue volatility as customers delay purchases or reduce inventory ahead of new product launches. While NVIDIA has managed multiple architecture transitions before, the increasing frequency and complexity could strain supply chain execution and impact margins, as seen with prior inventory provisions related to Blackwell [2][6]. The persistence of these risks depends on NVIDIA's success in scaling production and managing channel inventory effectively.

Emerging growth drivers include the expansion of AI inference capabilities with Grace Blackwell and Vera Rubin platforms, and the rapid enterprise adoption of AI agents, which management describes as fueling exponential compute demand [4][5][7]. Additionally, the automotive segment's 39% revenue growth in fiscal 2026, driven by self-driving platforms and new AI models like Alpamayo, signals a prospective but still nascent revenue stream with multi-decade growth potential [1][8]. These drivers suggest that NVIDIA's AI ecosystem is broadening beyond data centers into new verticals, which could sustain long-term growth if adoption scales as anticipated.

However, gross margin pressures from transitioning to full-scale Blackwell datacenter solutions and inventory charges highlight margin volatility risks amid rapid innovation cycles [1]. Operating expenses are rising due to employee growth and infrastructure investments, reflecting the cost of supporting accelerated product development and supply chain expansion [1][8]. The durability of NVIDIA's margin profile will hinge on balancing innovation-driven revenue growth with operational efficiency and supply chain stability.

- 65% revenue growth in fiscal 2026 driven by AI and accelerated computing confirms current strength in NVIDIA's core growth engines [1].
- 68% Data Center revenue increase underscores AI infrastructure as the primary growth driver, but supply constraints could limit near-term upside [1][2].
- Automotive revenue up 39%, reflecting early-stage but rapidly expanding AI-driven self-driving platform adoption [1][8].
- Frequent product architecture transitions introduce revenue volatility and margin risks, requiring effective supply chain and inventory management [2][6].
- Investment in U.S.-based manufacturing aims to alleviate supply bottlenecks but execution risks remain significant [2][6].
- Emerging AI platforms like Vera Rubin and Grace Blackwell position NVIDIA to capture exponential growth in AI inference and enterprise AI adoption [4][5][7].

What it means. NVIDIA's leadership in AI computing and expanding platform adoption underpin robust growth prospects, but investors should monitor supply chain execution and product transition risks that could cause near-term volatility.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16

[3] Q22026 Earnings Release (8-K) - p.5

[4] Q42026 Earnings Release (8-K) - p.6

[5] FY2026 Earnings Release - NVIDIA Corporation - p.6

[6] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35

[7] Q32026 Earnings Release (8-K) - p.5

[8] Q42026 Quarterly Report - Corrected Transcript - p.6

COMPETITIVE POSITION

NVIDIA faces intense competition from well-resourced incumbents and new entrants, with supply chain constraints and demand forecasting risks challenging its market position.

NVIDIA competes in a highly dynamic market against established semiconductor firms like AMD, Intel, and Broadcom, as well as large cloud providers such as Amazon and Microsoft who develop internal AI hardware solutions [2]. These competitors often have advantages including fabrication capabilities, broader IP portfolios, and deeper financial and distribution resources [1]. This competitive landscape pressures NVIDIA to continuously innovate and maintain performance

leadership while managing pricing to retain market share. The persistence of this competition is structural, driven by rapid technological change and evolving industry standards, meaning NVIDIA must sustain high R&D; investment and strategic partnerships to defend its position.

NVIDIA's fabless manufacturing model relies heavily on third-party foundries like TSMC and Samsung, which introduces supply chain vulnerabilities, especially amid semiconductor shortages and long lead times exceeding 12 months [1][5]. To mitigate this, NVIDIA commits to long-term supply agreements and pays premiums to secure capacity, increasing product costs [1]. However, these measures only partially insulate NVIDIA from supply-demand mismatches, which have historically led to both shortages and excess inventory, harming financial results and risking customer relationships [4][6]. The sustainability of NVIDIA's supply chain resilience depends on its ability to forecast demand accurately and on foundry capacity expansions, which remain uncertain.

Demand forecasting challenges are compounded by rapid shifts in customer requirements and competitive actions, leading to inventory write-downs and pricing adjustments [4][6]. For example, a \$4.5 billion charge related to excess inventory of the H2O product arose from diminished demand following export license restrictions to China [8]. Such regulatory and geopolitical factors add complexity to demand planning and market access, potentially disrupting NVIDIA's revenue streams. While NVIDIA is expanding its supply chain footprint beyond Asia to the U.S. and Latin America to enhance resilience, the effectiveness of these efforts hinges on regional manufacturing ecosystem development [8].

NVIDIA's competitive position is further complicated by the rise of open-source AI models that could reduce demand for its proprietary AI hardware if deployed on rival platforms [8]. Additionally, some customers possess internal development capabilities that may substitute NVIDIA's offerings, intensifying competitive pressure [1]. Sustaining NVIDIA's market share will require not only technological superiority but also ecosystem investments and strategic alignment with AI developers and cloud providers. The durability of NVIDIA's competitive moat is thus contingent on continuous innovation, supply chain agility, and ecosystem engagement.

- NVIDIA faces competition from AMD, Intel, and cloud providers like Amazon and Microsoft, who have greater manufacturing and financial resources [1][2], indicating persistent pressure on market share.
- Long manufacturing lead times exceeding 12 months and supply constraints force NVIDIA to pay premiums and commit to long-term supply agreements [1][5], raising costs and limiting flexibility.
- Inventory provisions negatively impacted gross margin by 2.6% in fiscal 2026 due to demand forecasting errors and regulatory disruptions, such as export restrictions on H2O products [6][8], highlighting risks to profitability.
- Expansion of supply chain into the U.S. and Latin America aims to reduce concentration risk [8], but success depends on local manufacturing capacity ramp-up.
- Open-source AI models threaten to reduce demand for NVIDIA's proprietary AI hardware if adopted on competitor platforms [8], challenging future growth potential.

What it means. NVIDIA's competitive position is robust but under continuous threat from resource-rich rivals, supply chain risks, and shifting AI dynamics, requiring vigilant innovation and supply management to sustain growth and margins.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14

[2] FY2026 Annual Report (10-K) - Item 1 -Business - p.8

[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[4] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15

[5] FY2026 Annual Report (10-K) - Item 1 -Business - p.8

[6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38

[7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.36

OUTLOOK

NVIDIA's aggressive capital return strategy signals confidence in sustained cash flow and disciplined capital allocation amid growth investments.

NVIDIA repurchased 282 million shares for \$40.4 billion in fiscal year 2026 and received Board approval for an additional \$60 billion in share repurchase authorization without expiration, bringing total available repurchase capacity to \$71.2 billion as of August 2025 [1][2][5]. This scale of buybacks indicates management's strong conviction in the company's cash generation and undervaluation of its stock. The absence of an expiration date on the authorization suggests a long-term commitment to returning capital, which supports shareholder value. However, this strategy depends on continued robust free cash flow and favorable market conditions; a downturn in earnings or liquidity constraints could force suspension of

repurchases.

NVIDIA paid \$974 million in dividends during fiscal 2026, with quarterly dividends consistently increasing compared to prior years [1][2][3][5][6]. The Board's discretion over future dividends implies flexibility to adjust payouts based on financial performance and strategic needs. The steady dividend growth alongside large buybacks reflects a balanced capital allocation approach that rewards shareholders while preserving funds for growth initiatives. This dividend policy is sustainable as long as earnings remain strong and capital expenditures do not escalate disproportionately.

Management expects fiscal 2027 first quarter revenue of \$78 billion, driven primarily by Data Center growth, with gross margins projected in the mid-70% range [7]. This outlook underpins the company's ability to generate substantial free cash flow, which funded \$41 billion in shareholder returns in fiscal 2026, representing 43% of free cash flow [7]. The exclusion of Data Center revenue from China in guidance signals cautious risk management amid geopolitical uncertainties, which could affect revenue sustainability if prolonged. Maintaining high margins and cash flow is critical to sustaining the aggressive capital return program and funding ongoing technology investments.

NVIDIA's capital return program is strategically aligned with its investment in technology and ecosystem development, aiming to drive long-term growth and superior total shareholder returns [7]. The disciplined approach to investments and capital returns suggests management prioritizes efficient use of capital over unchecked expansion. This balance is likely to persist given the company's scale and market position, but could be disrupted by unexpected competitive pressures or macroeconomic shocks that impair cash flow or necessitate higher reinvestment.

- 282 million shares repurchased for \$40.4 billion in fiscal 2026 signals strong confidence in cash flow and stock value [2].
- Additional \$60 billion share repurchase authorization without expiration indicates a long-term capital return commitment [1][5].
- \$974 million dividends paid in fiscal 2026 reflect a growing and flexible shareholder payout policy [2][3].
- Q1 fiscal 2027 revenue guidance of \$78 billion, driven by Data Center, supports continued free cash flow generation [7].
- 43% of free cash flow returned to shareholders in fiscal 2026 underscores disciplined capital allocation [7].
- Excluding China Data Center revenue in guidance shows cautious risk management amid geopolitical uncertainties [7].

What it means. NVIDIA's robust capital return program, backed by strong cash flow and disciplined investment, enhances shareholder value but requires sustained operational performance and margin stability.

Sources cited above.

- [1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [3] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
- [5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
- [6] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
- [7] Q42026 Quarterly Report - Corrected Transcript - p.6
- [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Customer Concentration Risk Loss or reduced purchases from top customers, who represent over 35% of total revenue, would sharply reduce sales and margins.	Medium	Hits Compute & Networking segment revenue, which accounts for a majority of total revenue; a 20% decline in this segment could reduce total revenue by ~15-20%.	Could push fair value down toward bear case of USD 21.65 (-90% vs price), given the outsized revenue and margin impact.	Quarterly revenue contribution from top two customers as a % of total revenue
Export Controls on Data Center GPUs US export restrictions limit sales of data center GPUs and related networking products, reducing addressable market and growth potential.	High - ongoing regulatory pressure	Directly impacts Compute & Networking segment, which drives over 70% of revenue; a 25% reduction in addressable market could cut segment revenue by ~20%.	Could reduce intrinsic value by 30-40%, moving fair value closer to bear case USD 21.65.	Sequential decline in data center GPU revenue and order backlog from restricted regions

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Partner Channel Dependency Dependence on a small number of system integrators and channel partners risks sales disruption if partners fail to meet customer specs or shift purchasing patterns.	Medium	Could reduce Compute & Networking sales by 10-15%, impacting overall revenue and operating margins.	May lower fair value by 15-20%, exacerbating downside toward base or bear case.	Partner order volumes and inventory levels reported in quarterly disclosures
Customer Purchase Volatility Customers can cancel or delay purchase orders with little notice, causing revenue timing volatility and potential inventory build-up.	High - inherent in purchase order model	Could cause quarterly revenue swings of +/-10-15%, impacting cash flow predictability and margin stability.	Increases valuation uncertainty, potentially widening downside risk toward base case USD 42.46 or below.	Quarterly changes in customer order cancellations and backlog levels

COMPETITIVE MOAT

Moat rating: Narrow

NVIDIA benefits from technological leadership and a strong ecosystem that provide some pricing power and differentiation, but intense competition and rapid innovation cycles limit the durability of these advantages, making the 36.2% terminal margin optimistic and only partially defensible.

Sources of advantage:

- Technological leadership in GPUs and AI accelerators delivering generational performance-per-watt improvements
- Strong ecosystem and partnerships with AI software companies and cloud providers, enhancing platform stickiness
- Extensive patent portfolio and proprietary architectures in accelerated computing
- Scale advantages in R&D; and manufacturing relationships enabling faster product cycles

Threats to the moat:

- Increasing competition from AMD, Intel, and emerging AI chip startups offering potentially lower-cost or differentiated solutions
- Large cloud providers developing internal hardware solutions reducing reliance on NVIDIA products
- Rapid technological change requiring continuous innovation to maintain performance leadership
- Potential new entrants or alliances capturing market share with novel architectures or pricing

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Terminal operating margin	The single most important lever of gross margins is delivering generational leaps in performance per watt, implying sustained high margins	We model a high terminal margin of 36.2% but view it as optimistic given competitive pressures and the challenge of sustaining generational performance improvements indefinitely	More cautious
Revenue growth outlook	Expect continued strong demand driven by AI and accelerated computing across multiple end markets	We model 20% year-1 revenue growth reflecting robust but not runaway expansion, acknowledging competition and market saturation risks	Aligned
Competitive environment	Competition is increasing from established players and new entrants, including cloud providers building internal solutions	We agree competition is intensifying and factor this into margin and growth assumptions	Aligned
Strategic investments and ecosystem	Investments in AI startups and partnerships strengthen NVIDIA's ecosystem and market position	We recognize ecosystem investments as a moat source but see them as insufficient alone to guarantee durable competitive advantage	More cautious

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Rubin platform initial shipments	Second half of fiscal year 2027 (starting around Q3 FY2027)	Two-sided	Data center revenue growth
Q1 FY2027 earnings release	Approximately May 2026 (assuming fiscal year ends January)	Two-sided	Year-1 revenue growth rate
Q4 FY2026 earnings release with guidance update	Approximately February 2026	Two-sided	Sequential quarterly revenue growth, especially data center segment
Gaming segment revenue update amid memory supply constraints	Q1 FY2027 earnings or mid-2026 commentary	Negative	Gaming revenue growth year-over-year

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Data center revenue growth	Sequential increase of >\$10 billion in recent quarter	Strong growth but expected to moderate with Rubin ramp	Moderate sequential growth in data center revenue in FY2027, less than prior quarters	Data center revenue growth is the primary driver of overall revenue and valuation; our fair value assumes 8% CAGR vs market pricing implying >30%
Year-1 revenue growth (FY2027)	20.0% (our model)	Decelerating from prior FY2024-FY2026 growth rates (126%, 114%, 65%)	FY2027 revenue growth around 20%, significantly below market implied >30%	Revenue growth rate is the key lever for valuation; divergence from market expectations will pressure stock
Terminal operating margin	36.2% (our model)	Stable to slightly improving	Maintain or modestly improve toward 36% margin	Operating margin drives terminal value; margin compression or expansion materially affects fair value
Inventory levels and provisions	Increasing complexity and risk of inventory provisions noted	Potentially rising due to supply chain complexity and multiple architectures	Manageable inventory levels without significant impairments	Excess inventory or impairments would pressure margins and cash flow, negatively impacting valuation
Gaming revenue growth	Uncertain, memory supply constraints noted	Potential pressure or flat growth in FY2027	Gaming revenue may be flat or slightly negative year-over-year	Gaming is a meaningful segment; weakness here could reduce overall revenue growth and margin

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 42.46	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 235.61 (+7.2% vs price). Reconciled from USD 42.46 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 219.89. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 219.89	Gap
Revenue CAGR (10-year)	8.0%	32.5%	+24.5pp
Operating margin (mature)	36.2%	—	—
FCF margin (mature)	30.0%	—	—
Terminal growth	2.5%	13.0%	+10.5pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	259.1bn	20.0%	60.4%	123.0bn	107.4bn
FY2028	297.3bn	14.8%	57.7%	137.1bn	104.4bn
FY2029	330.3bn	11.1%	55.0%	147.0bn	97.7bn
FY2030	358.4bn	8.5%	52.3%	153.1bn	88.7bn
FY2031	382.4bn	6.7%	49.6%	156.0bn	78.9bn
FY2032	403.2bn	5.4%	47.0%	156.2bn	68.9bn
FY2033	421.6bn	4.6%	44.3%	154.4bn	59.5bn
FY2034	438.2bn	3.9%	41.6%	150.9bn	50.7bn
FY2035	453.6bn	3.5%	38.9%	146.1bn	42.8bn
FY2036	468.1bn	3.2%	36.2%	140.3bn	35.9bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — 14pp above the 8% our top-down DCF assumes. That gap is where the growth debate on this name actually sits.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.2%	2.0%	16.1%	USD 21.65	-90%	25%
Base case	20.0%	36.2%	2.5%	14.6%	USD 42.46	-81%	50%
Bull case	40.0%	48.2%	3.0%	13.1%	USD 93.35	-58%	25%

Probability-weighted value USD 49.98 (-77.3% vs price). Range USD 21.65 to USD 93.35, a spread of 169% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 16.1% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 20% decaying toward 2.5%, a terminal margin of 36%, discounted at 14.6%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 40%, margins recover toward 48%, and an easing risk premium lowers the discount rate to 13.1%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

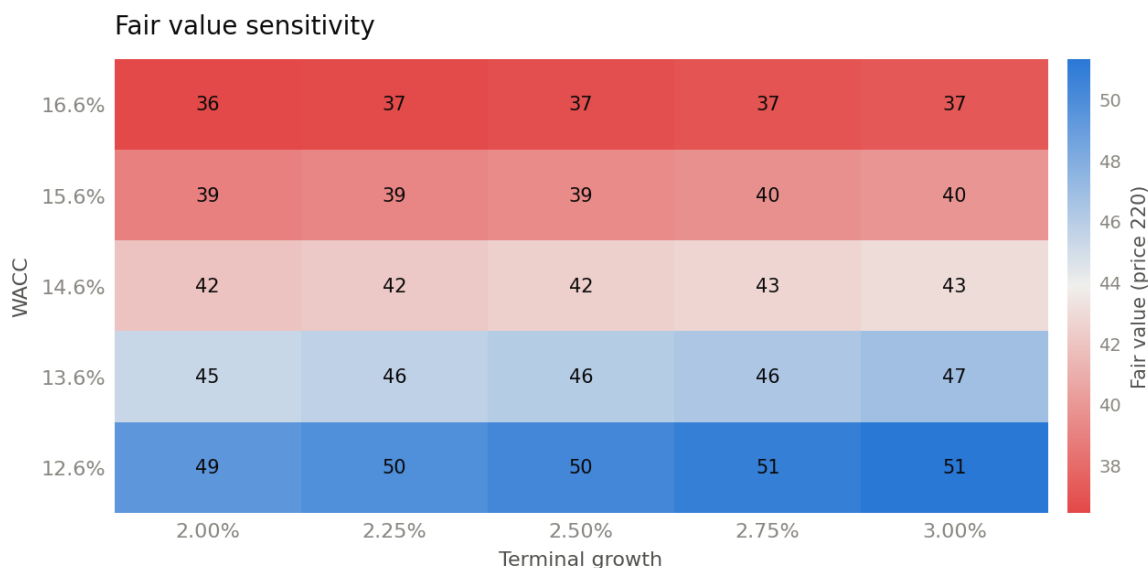
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.6%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Cost of equity	14.6%	Derived from filings	CAPM: 4.64% + 1.81 x 5.50%
Pre-tax cost of debt	6.1%	Standard default	Risk-free 4.64% + 1.5% investment-grade spread
WACC (discount rate)	14.6%	Derived from filings	100% equity x 14.62% + 0% debt x 6.14% x (1 - 13%)
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	20.0%	Model estimate (bounded)	Model estimate 20%, bounded to [2%, 65%] from reported growth of 65%
Terminal operating margin	36.2%	Model estimate (bounded) (bounded)	Model estimate 30.0%, normalised down from today's 60.4%; kept within a maturity band of [36.2%, 62.4%] (floor 60% of current, ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	760.0bn	118.8x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	60.3x	44.0x	24.6x
Intel Corporation (INTC)	493.0bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	171.1bn	18.8x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	30.9x	4.7x	3.3x

Implied value applies the peer median P/E of 45.6x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 607% above our intrinsic DCF (USD 42.46). The blended value reconciles the two; read it as a triangulation, not a precise number.

- At USD 219.89 the price sits above even the bull case (USD 93.35); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 169% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 36.2% (estimate was 30.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quatr/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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